and the U.S.S.R. The Soviet Union actually is probably poorer than it was prior to the war, owing to enormous destruction, but its potential is tremendous and it will rapidly make good and go further ahead. In physical and economic power there will be none to challenge it on the Eurasian continent. Already it is showing an expansionist tendency and is extending its territories more or less on the basis of the Tsar's Empire. How far this process will go it is difficult to say. Its socialist economy does not necessarily lead to expansion for it can be made self-sufficient. But other forces and old suspicions are at play and again we notice the fear of so-called encirclement. In any event the U.S.S.R. will be busy for many years in repairing the ravages of war. Yet the tendency to expand, if not in territory then in other ways, is evident. No other country to-day presents- such a politically solid and economically well-balanced picture as the Soviet Union, though some of the developments there in recent years have come as a shock to many of its old admirers. Its present leaders have an unchallengeable position, and everything depends on their outlook for the future.

The United States of America have astonished the world by their stupendous production and organizing capacity. They